



A LEGAL INTELLIGENCE LETTER FOR
TRANSITIONAL MARKETS

Issue No. 3

Grounded: Banking Sanctions, Aviation And Naval Blockade Under A Deal That Wasn't

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BACKGROUND

Previous Issues of IC coincided with the military escalation between Iran and U.S. renewed, this time, the third issue, coincides with the diplomatic talks renewed.

In Issue 01 we predicted that continued escalation would erode Iran's leverage over the Strait of Hormuz rather than reinforce it. Issue 02¹ confirmed the mechanism through pipeline diversification, however as Saudi's Yanbu pipeline was blown by a drone attack, and Saudis returned to previous outlets through Hormuz Strait it actually turned out that now they are exporting oil even more than before the war! According to Kpler, a private agency that track the tankers data, in September around 16.328 mb/d oil from the Persian gulf has been exported. Before the February 2026, the region crude exports were about 19.513 mb/d, so exports remain roughly 3.2 mb/d below the pre-conflict level which indicates significant improvement for oil export. Nonetheless, the oil price has not reduced very much that leaves room for suspension about credibility of the mentioned numbers.

It is said, unofficially, that UAE are helping Saudis to pass through the strait. Apparently they are using smaller tankers and tankers that are out of standard that had to be dismantled. Thus, even after they are targeted they can still tow the tankers to Sohar in Oman where they load the oil to VLCCs for the rest of the voyage. Additionally, U.S. Central Command reported on September 19 that it had helped move more than one billion barrels of crude out of Persian Gulf over two months while redirecting 122 commercial vessels to enforce a naval blockade that has now halted Iranian crude exports entirely.

The diplomatic behavior of Iran can be interpreted as an admission: on September 25, Iran's Foreign Minister Abbas Araghchi proposed a one-week framework to reopen Hormuz in exchange for returning to the Islamabad Memorandum's original terms. Trump rejected the proposal within a day, claiming that they already are in control in Hormuz strait, though he said negotiations would continue. And indirect contacts have continued: U.S. and Iranian negotiators were scheduled to meet separately with Qatari mediators on September 28–29. Today, 30th September, the mediators have brought the answer Americans back to Iranians. Some news broadcasts such as CNN and Axios claimed that generally both sides are in agreement to return to the previous collapsed terms

¹ Download Issue 2; <https://maddahinasab.com/assets/docs/newsletter/Interregnum Counsel - Issue 2.pdf>

but they disagree on who has to do their obligations first! Trump, of course, explicitly has announced these news as “fake news”. Despite these claims, other developments in the region and aggressive rhetoric from parties involved indicates that there will be another round of military strikes, probably after the U.S. Midterm elections.

Domestically, in the US, the war's legal footing is also under contest. On 24th September, the Senate rejected a war-powers resolution to end U.S. military action against Iran by a single vote, 49–50 — a narrower margin than the House's comparable vote nine days earlier, and a reminder that the administration's authority to continue military pressure is being tested, not assumed, within its own legislature.

GEOPOLITICAL/LEGAL ANALYSIS

The September 8 aviation action remains the most important operative financial-sanctions event of this period, and it is worth restating its mechanics precisely because the political noise around the rejected ceasefire has since overshadowed it.

The latest US sanctions go beyond individual airlines, increasingly targeting the wider ecosystem that keeps Iran's aviation connected to the international system, including aircraft/parts procurement and maintenance, insurance, financing, fuel, foreign intermediaries and airport services.

So far, Treasury sanctioned 36 targets, 27 Iranian airlines plus nine foreign companies and individuals — combining EO 13902 sectoral authority with EO 13224 counterterrorism designation authority, and indefinitely suspended General License J-1, the mechanism that had permitted non-Iranian carriers limited sojourns into Iran since 2016. The wind-down window closed September 23.

Many geopolitical experts say Iran's threat against regional airports is not merely rhetorical, it converts a U.S. financial-sanctions instrument into grounds for Iranian retaliation against third-country aviation infrastructure, which is precisely the kind of secondary, non-financial escalation that a naval blockade victim with no comparable financial lever available would be expected to reach for. This mirrors the Al Jazeera-reported assessment of regional security analyst Andreas Krieg, who has argued that Iran's most likely next move is to increase the cost of the standoff for the wider region than simply absorb further American pressure. And just today, 30th September, there was an incident in a flight from Dubai to Tel Aviv but it is not clear if Iran was behind the story, some argue that it was an orchestrated show working in Netanyahu's favor regarding the upcoming Knesset election. We cannot simply jump to any conclusion anyways.

Nevertheless, our analysis is that Iran will not retaliate against the neighboring countries (at least not all of them) simply for complying to the aviation sanctions, as they don't want to ruin their relations with some of the neighbors such as Türkiye or Iraq. And possibly the U.S. Will grant exemption to Iraq to maintain flights from Najaf Airport to Tehran which will ease the aviation tensions a bit. We say Iran will rely more on diplomacy this time, more precisely, seeking to revive the Islamabad Memorandum's Article 10 commitment — Treasury waivers covering banking transactions, insurance, and transportation — remains the explicit thing Iran is negotiating to restore.

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COMMERCIAL & INVESTMENT IMPLICATIONS

Nevertheless, like always markets tend to be cautious. banks and trade-finance providers, consider Iran's threat against complying regional airports as a layer of risk beyond standard sanctions screening: counterparties operating in Persian Gulf aviation, cargo, or logistics may now face conflicting compliance pressure from both Washington (comply with designations) and Tehran (face operational retaliation for compliance). This is a materially different risk profile than the shipping-intermediary exposure flagged in Issue 02 — it is bidirectional rather than one-directional.

For insurers, the September 24 war-powers vote matters as much as any sanctions instrument: a one-vote margin against ending military action signals that the current enforcement and blockade posture has no near-term domestic check, and coverage models built on an assumption of imminent Congressional restraint should be revised accordingly. For investment committees, the practical read is unchanged from Issue 01's JCPOA precedent, but the timeline has compressed further: a financial-relief mechanism that was never even reinstated is already being treated by both sides as leverage to be fought over rather than delivered — which is a lower bar for "unbankable" than reversal after implementation.

A blockade that has already stopped all Iranian crude exports is the real backdrop to this issue — the banking sanctions are the instrument Washington reaches for precisely because the blockade has made financial pressure, not military pressure, the primary battlefield..

SCENARIO ANALYSIS

Base Case — Blockade and Sectoral Sanctions Continue, Indirect Talks Persist Without Resolution.

The naval blockade remains in place, aviation-style sectoral designations expand into adjacent sectors, and Qatari-mediated indirect talks continue without producing a signed framework. Iran relies diplomatic channels supported by coercive signals

Upside — A Narrower Interim Framework Emerges From Qatari Mediation.

The September 28–29 talks produce a limited, sector-specific arrangement — potentially aviation- or humanitarian-transport-focused — short of a full Islamabad revival, easing blockade pressure incrementally without resolving the underlying sanctions architecture..

Downside — Iran Escalates Against Regional Infrastructure to Force Financial Costs on the Persian Gulf states.

Consistent with the analyst assessment cited above, Iran follows through on threats against complying regional airports or expands disruptive action against regional shipping and infrastructure, aiming to impose broad economic cost on neighbors. Banks and insurers respond by further tightening adjacent exposure well beyond what any single designation requires.

DECISION MATRIX

Stakeholder	Immediate Priority
Banks & Trade Finance Providers	Screen for bidirectional compliance risk — U.S. designation exposure and Iranian retaliation exposure — across any Persian Gulf aviation, cargo, or logistics counterparty.
Aviation & Logistics Intermediaries	Assess exposure to Iranian retaliatory threats against regional airports,.
Political-Risk & Aviation Insurers	Revise coverage models that assumed near-term Congressional restraint on military action following the September 24 vote.
Shipping & Logistics Companies	Maintain blockade-contingency routing; Central Command's enforcement posture shows no near-term sign of easing.

MTRIS™ INTELLIGENCE INDEX

MTRIS-2026-03: Each issue receives a unique MTRIS™ Assessment ID. This identifies the qualitative MTRIS™ assessment published in each Issue. Updated assessments in later issues receive their own identifiers while remaining linked through the Intelligence Index. Every reference code is permanent and may be cited in future issues, Quarterly Review editions, client memoranda, or academic publications.

Dimension	Rating	Trajectory	Action	Assessment
Institutional	High	↑↑ Rapidly Deteriorating	Hold Capital Commitment	A near-tied Senate war-powers vote and a rejected ceasefire proposal, alongside continuing indirect Qatari-mediated talks, show an institutional environment contested on both the U.S. domestic and Iran-U.S. diplomatic tracks simultaneously — with no durable resolution mechanism on either..
Transactional	High	↑↑ Rapidly Deteriorating	Restructure Transaction	Sanctions exposure is now bidirectional: Iranian retaliation against sanctions-compliant regional aviation infrastructure adds a countervailing compliance risk that did not exist in Issue 02's shipping-focused assessment.
Operational	High	↑↑ Rapidly Deteriorating	Increase Operational Controls	Aviation and naval blockade that has halted all Iranian crude exports and some urgently needed imports, combined with Iranian threats against regional aviation infrastructure, represents a materially broader operational disruption than the sectoral aviation designations alone would suggest.

Methodological note: MTRIS™ (Maddahinasab Transitional Risk Intelligence System™) is a proprietary framework evaluating transitional-market exposure across Institutional, Transactional, and Operational dimensions, combining current ratings with directional trend analysis and decision-oriented action codes. The assessment above is a general schematic; ***our specialized mandates receive deeper, deliverable-supported analysis.***²

² Read more on our website; <https://maddahinasab.com/#mtris>

PREDICTIVE WATCH LIST

Every forecast published in *Interregnum Counsel* receives a permanent reference code. These codes allow readers to track individual forecasts across future issues and *Quarterly Review* editions, where each prediction is revisited and its outcome assessed.

Reference Format Example: IC-2026-03-W03

IC = *Interregnum Counsel*_ 2026= Year of publication_ 03 = Issue number_ W= Watch List forecast_ 03 = Forecast number within that issue

Accordingly, IC-2026-03-W03 refers to the second forecast published in Issue No. 3 (2026) of *Interregnum Counsel*. Every reference code is permanent and may be cited in future issues, *Quarterly Review* editions, client memoranda, or academic publications.

Ref. Code	Forward Indicator	Probability	Time Horizon	Current Status	Assessment
IC-2026-03-W01	Iranian Retaliation Against Regional Aviation Infrastructure	Low	4–8 weeks	Emerging	However Iran has stated threat against sanctions-compliant regional airports, it is unlikely to do so as it will deteriorate relations with neighbors that have not been hostile toward the Islamic Republic. Whether this remains rhetorical or converts into disruptive action against specific airports is the key indicator to track. Nevertheless, it is more likely to see attacks on UAE oil infrastructure.
IC-2026-03-W02	Pakistani/Qatari-Mediated Interim Sectoral Framework	Already happening	Currently happening, estimated to maintain indirect talks for a week or two	Active	The September 28–29 talks are the most concrete diplomatic channel currently active. A narrow, sector-specific arrangement is more plausible than a full Islamabad revival given the current domestic political constraints on both sides,
IC-2026-03-W03	Sustained Blockade Without Congressional Reversal	High	At least until the US midterm elections	Active	The one-vote Senate margin against ending military action indicates the naval blockade and sectoral sanctions regime face no near-term domestic legal challenge, regardless of diplomatic developments.

ABOUT THE AUTHOR

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